Red Tails, Broken Wings: Talent Misallocation Among America's Most Talented African-Americans

Guohui Jiang Elisabeth Perlman Hans-Joachim Voth Jennifer Withrow

Very Preliminary. Please don't circulate.

Abstract

Racial discrimination can lead to talent misallocation. We examine the effects of discrimination against African-Americans over the life-cycle. In WW2, the US armed forces trained African-American pilots – the famous Tuskegee airmen. They arguably constituted one of the most highly selected groups of black Americans. The Air Forces' exacting, sophisticated selection procedures and the availability of aptitude test scores enable us to measure ability. We examine later-life outcomes using granular, individual-level data from the census, zip-codes of later-life residences, and income tax data. Comparing black with white pilots, and black pilots returning to high vs low racism locations, we show that pre-war racial discrimination is highly predictive of talent misallocation: Tuskegee airmen who returned to US counties with one standard deviation higher racial discrimination earned one third less in 1950, worked in occupations with markedly lower cognitive requirements in the 1960s, lived in six-percentile cheaper housing in the 1990s, and died in markedly poorer ZIP codes. Using individual-level data on ability scores from a large sample of WW2 recruits (going beyond the Tuskegees) shows that racial discrimination exacted a particularly high price among the most talented African-Americans. Our findings are robust to accounting for various potential confounders, including potential selective migration over racism.

Keywords: Racial Discrimination, Talent Allocation, Tuskegee Airmen, US History, Word War II